

internal rate of return—composed, respectively, of dividends and earnings growth and by interest coupons. That is why stocks and bonds are considered *investments*. I freely concede that the growing worldwide demand that has helped drive the huge rise in the prices of most commodities in recent years may well continue. But it may not. I'm not at all sure that speculation on future price increases will be rewarded.^{[13](#)}

Managed Payout Funds

The fund industry apparently only recently discovered that millions of investors are moving from the accumulation phase of investing to the distribution phase (even though that demographic handwriting has been on the wall for decades). So we have new funds that, in effect, guarantee the exhaustion of your assets in whatever time period you choose (something that has *always* been all too easy to accomplish!). We also have funds designed to distribute 3 percent, 5 percent, or 7 percent of your assets without necessarily invading principal. Only time will tell if that will happen, but what seems to have been ignored by the fund industry, for obvious reasons, is the alternative: serving retired investors by increasing fund *investment income*, the forgotten man of the fund industry. But the only sound way to provide more income per unit of risk is to slash fund expenses, so such client-focused innovation is unlikely to happen.

Brazil, Russia, India, and China (BRIC) Funds and International Funds

No doubt about it. With returns in Brazil, Russia, India, and China soaring in recent years, fund sponsors were quick to market them. My long experience warns that it's all too counterproductive for investors to jump on the bandwagon of superior past performance. Of course, the sharp declines (30 to 50 percent in the first half of 2008) that at least India and China have suffered will squash investor appetites for them.